

US WEEKLY KICKSTART

The impact of the AI capex boom on S&P 500 return on equity

- **Following a volatile week, the S&P 500 has returned 9% YTD but trades at the same 21x P/E multiple as it did a year ago.** The S&P 500 YTD return reflects a 17% rise in consensus forward 12-month earnings estimates alongside a 7% decline in the P/E multiple, from 22x to 21x. The current 21x P/E ranks in the 87th percentile since 1980. Going forward, we expect earnings growth will continue to drive the S&P 500. Within the market, recent Momentum factor volatility has tracked with the historical precedent following sharp rallies.
- **Record profitability has been one of the factors supporting high S&P 500 valuations.** S&P 500 trailing 4-quarter ROE registers a record high 22%. Whether S&P 500 valuations revert toward their long-term average or prove structurally higher going forward will depend in part on the trajectory of corporate profitability. In our macro model, every 1 percentage point change in S&P 500 ROE is associated with about a 1x turn in S&P 500 P/E. Differences in profitability also help explain the variation in valuations across equity indices.
- **S&P 500 ROE has surged by 150 bp during the past four quarters, driven by a boost from the mega-cap technology stocks to index profit margins.** Among DuPont components, rising S&P 500 profit margins have also been the primary driver of the index's 800 bp ROE expansion since 1985. In recent quarters, ROE for the aggregate S&P 500 has benefited from the growing weight of the mega-cap tech stocks while ROE for the median S&P 500 company has declined. The seven largest tech stocks currently have a collective ROE of 44%, which has expanded by 900 bp during the past three years.
- **The AI capex boom has lifted semiconductor profitability but will be an increasing headwind to mega-cap tech ROE going forward.** The hyperscalers have grown in asset intensity and experienced declining sales/asset turnover since the start of the AI boom. During the next few years, rising hyperscaler depreciation expenses will reverse some of the S&P 500 ROE benefit that AI capex has generated in the form of elevated semiconductor profit margins. Equity raises to fund investment spending will also pressure ROE. Consensus estimates imply that ROE for the seven largest technology stocks will decline by an average of 700 bp next year.
- **AI also creates a key long-term upside case for ROE, both for the mega-cap tech stocks and for the broad equity market.** For the hyperscalers, the net impact of the AI capex boom on profitability will depend on the magnitude of

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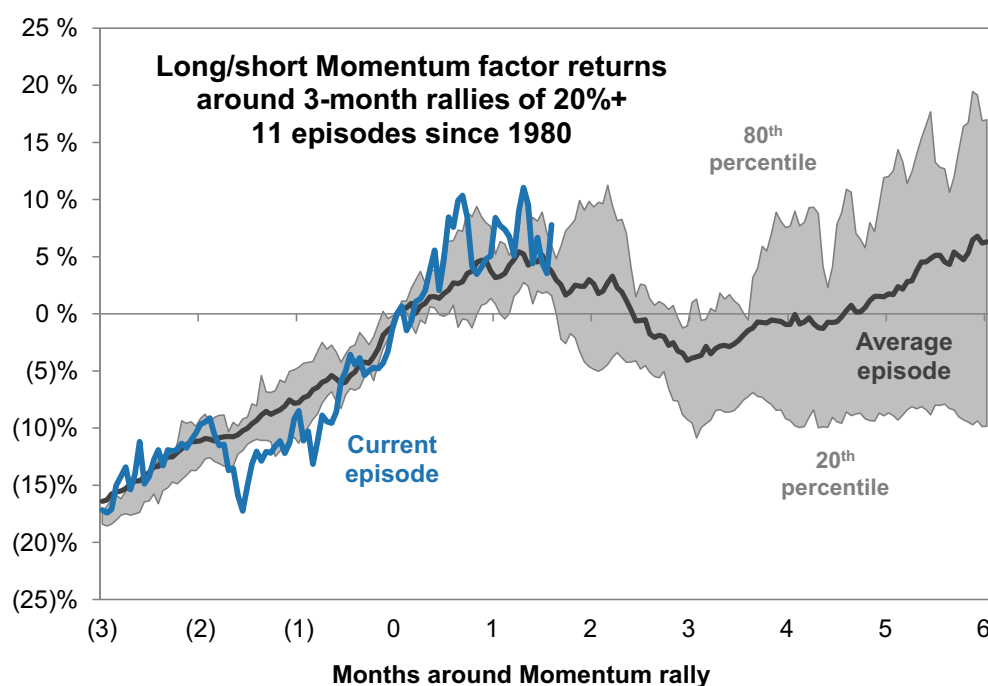
returns on their investments. For the rest of the market, AI-related productivity gains should eventually lift ROE via higher asset turnover and potentially higher profit margins. However, the share of AI-related economic gains that accrue to companies will depend on a number of factors, including government tax policy. Falling effective tax rates have helped lift S&P 500 ROE during the past few decades, but the corporate profit share of US GDP is now at the highest level since 1950.

- **We rebalance our ROE Growth basket (GSTHGROE) in this report.** The basket includes the 50 stocks with the highest consensus ROE growth during the next 12 months.

The outlook for S&P 500 ROE

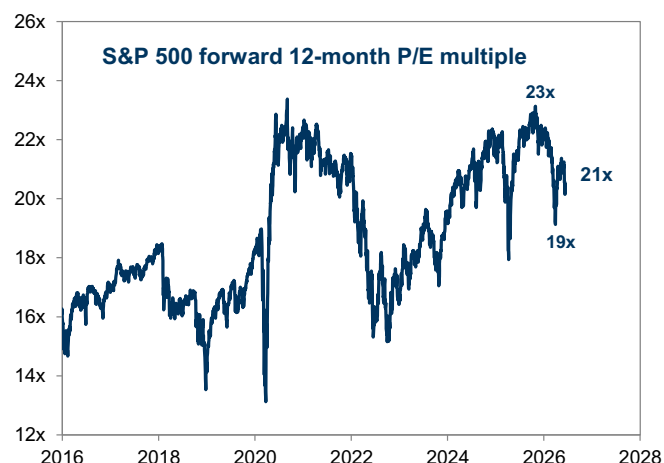
Volatile market rotations during the past week continued to follow the pattern of the sharpest Momentum rallies in recent decades. Before the sell-off that started last week, a narrow-breadth Momentum rally had driven the sharpest two-month S&P 500 return since 1971, when scaled relative to volatility. Following similarly sharp rallies in the past, the Momentum factor has usually struggled during the subsequent few months. In addition to the historical precedent, the current market characteristics of elevated trading leverage, still-narrow market breadth ([Exhibit 36](#)), and uncertainty about both the macro outlook and the AI build-out suggest volatility will persist.

Exhibit 1: Momentum has been volatile following its sharp rally earlier this year

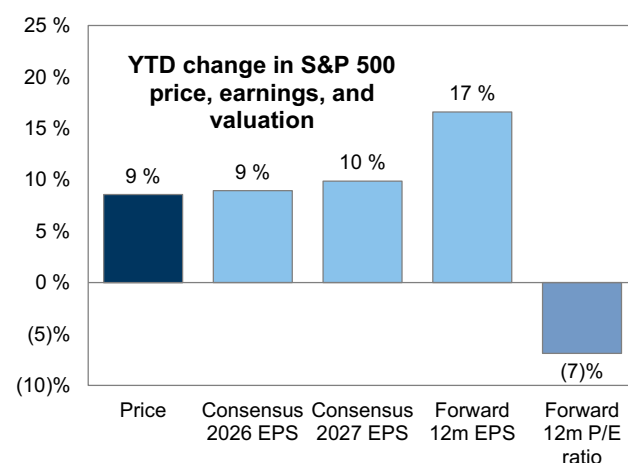


Source: Goldman Sachs Global Investment Research

The S&P 500 P/E multiple has declined during the past few months but remains elevated versus history. The S&P 500 trades at 21x forward earnings, in the 87th percentile since 1980 but 11% below the peak of 23x in late 2025. The median S&P 500 stock trades at 18x, also high by historical standards but in line with the last several years.

Exhibit 2: S&P 500 NTM P/E is 11% below late 2025 peak

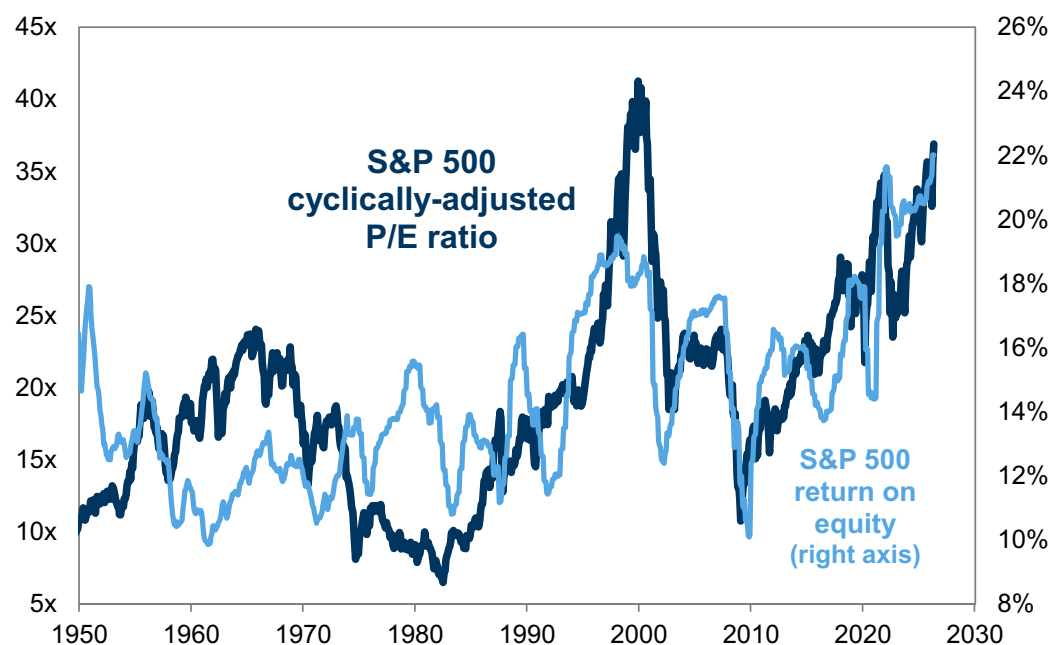
Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 3: S&P 500 forward P/E has contracted YTD

Source: FactSet, Goldman Sachs Global Investment Research

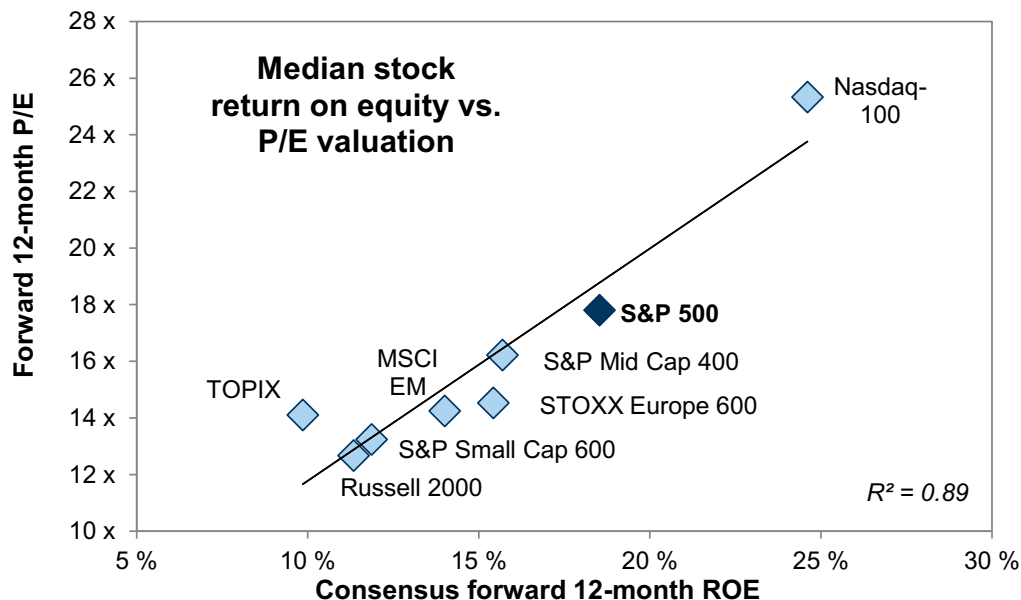
Record profitability has been one of the factors supporting high S&P 500 valuations.

The current S&P 500 trailing 4-quarter return on equity ("ROE") is 22%, the highest on record. Although the P/E is elevated relative to history, it is roughly in line with the fair value indicated by our macro models. Just as investors typically assign higher valuation multiples to stocks with higher profitability, history suggests that the profitability of the aggregate equity market helps determine its P/E multiple, along with macro factors like interest rates and inflation.

Exhibit 4: Higher ROE has supported higher P/E multiples

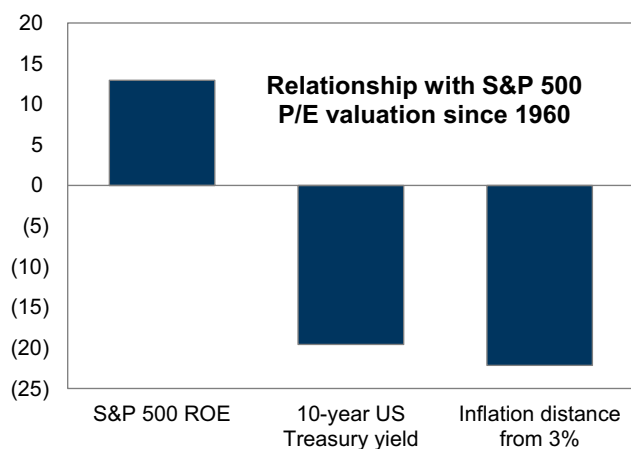
Source: Robert Shiller, Compustat, Goldman Sachs Global Investment Research

Variation in profitability also helps explain the variation in valuations across equity indices. The relationship between ROE and P/E valuation multiples is evident both among US equity indices and across a selection of major global indices.

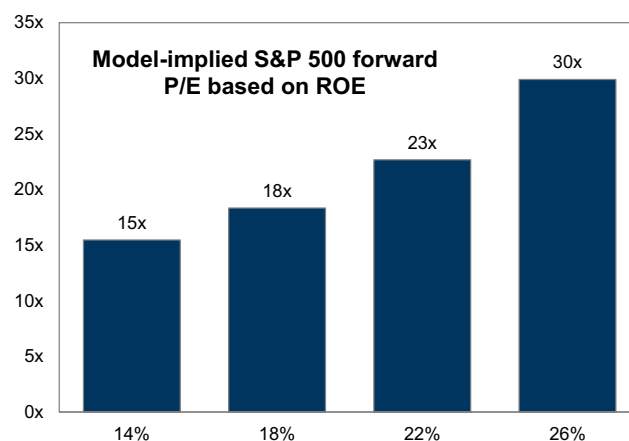
Exhibit 5: Difference in profitability helps explain variation in valuations across equity indices


Source: FactSet, Goldman Sachs Global Investment Research

Whether S&P 500 valuations revert toward their long-term average or prove structurally higher going forward will depend in large part on the trajectory of corporate profitability. Based on our macro model, every 1 percentage point change in S&P 500 ROE is associated with a change of roughly 1x in S&P 500 P/E.

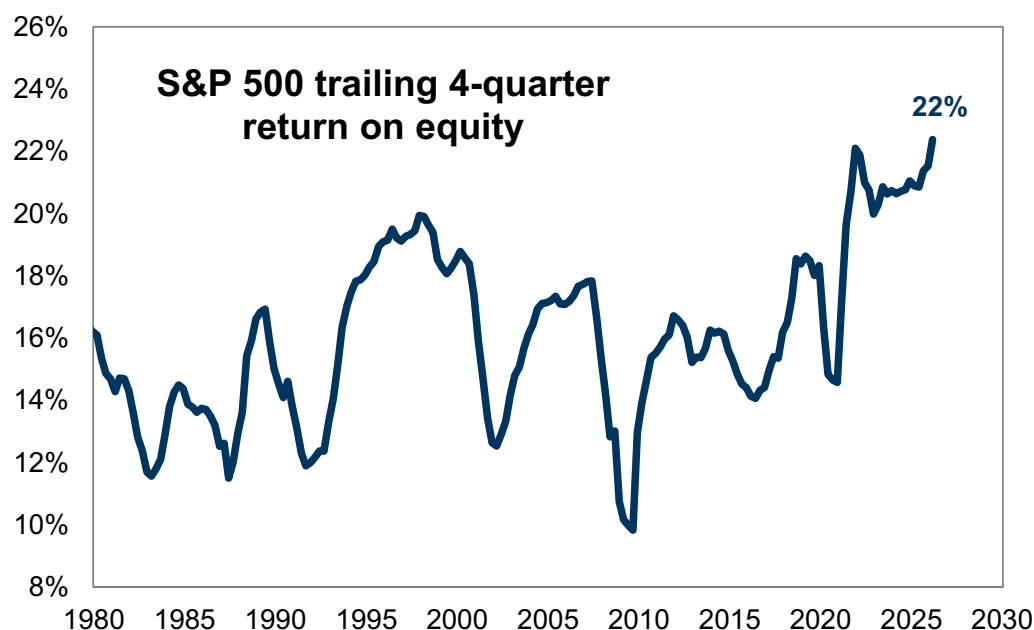
Exhibit 6: Drivers of our macro model of S&P 500 valuation


Source: Goldman Sachs Global Investment Research

Exhibit 7: Sensitivity of S&P 500 valuation to ROE
 assumes constant inflation and interest rates


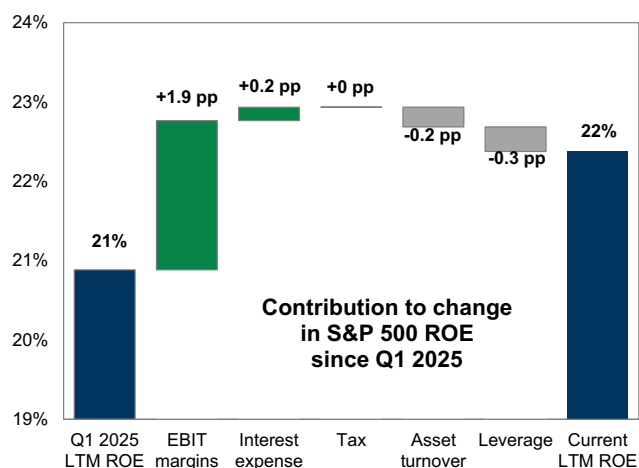
Source: Goldman Sachs Global Investment Research

S&P 500 trailing 4-quarter ROE reached a record high of 22% in Q1 2026, surpassing the previous high reached in 2021. ROE rose by 150 basis points during the past four quarters. During the past 40 years, S&P 500 return on equity has expanded by 800 basis points.

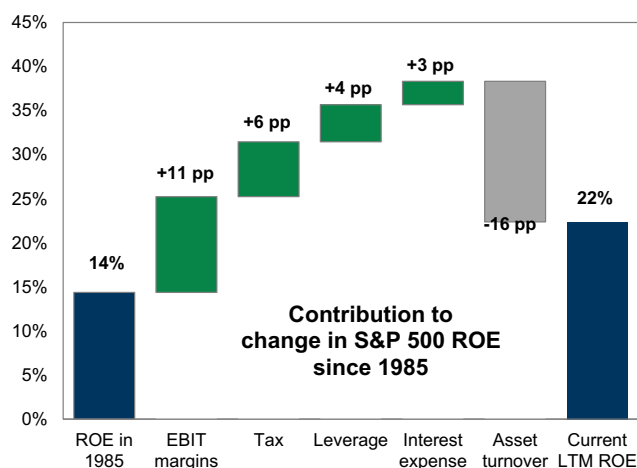
Exhibit 8: S&P 500 ROE has surged to a record high

Source: Compustat, Goldman Sachs Global Investment Research

EBIT margins have been the primary driver of ROE expansion during the past year and during the past few decades. Declining tax rates and falling borrow costs have also been tailwinds to ROE. Rising corporate leverage has been a contributor to long-term S&P 500 ROE expansion but a modest detractor during the past few quarters.

Exhibit 9: Recent ROE growth decomposition

Source: Compustat, Goldman Sachs Global Investment Research

Exhibit 10: Long-term ROE growth decomposition

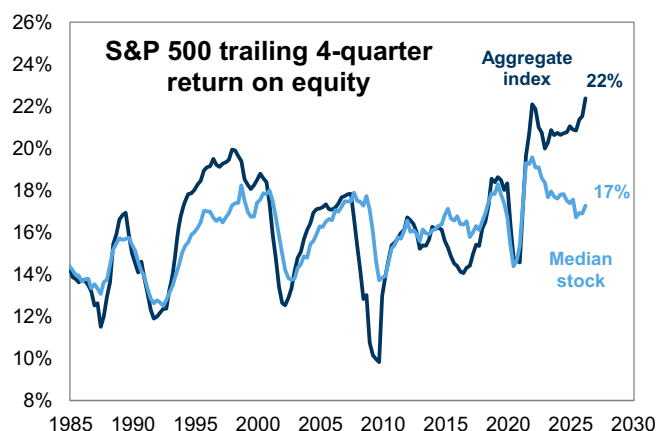
Source: Compustat, Goldman Sachs Global Investment Research

In contrast with surging S&P 500 Index ROE, ROE for the median S&P 500 stock has declined during the past few years and remains below previous highs. Since 1985, ROE for the median S&P 500 company has expanded from 14% to 17%. However, during the past few years, ROE for the median stock has declined due to a combination of higher interest expense, lower leverage, and modestly higher tax expense.

ROE for the aggregate S&P 500 has benefited from the growing weight of mega-cap

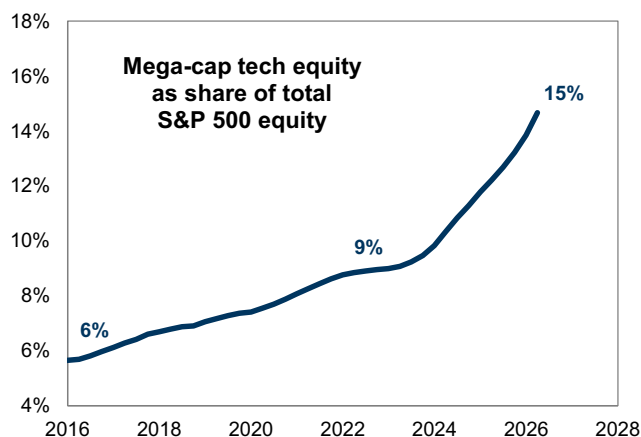
tech stocks, which generate above-average profitability. ROE for the seven largest stocks in the S&P 500 (NVDA, AAPL, GOOGL, MSFT, AMZN, AVGO, and META) currently registers a collective 44% and has expanded by 9 pp during the past three years ([Exhibit 13](#)).

Exhibit 11: Divergence between aggregate and median stock ROE



Source: Compustat, Goldman Sachs Global Investment Research

Exhibit 12: The share of S&P 500 equity attributable to mega-cap tech has more than doubled during the past decade

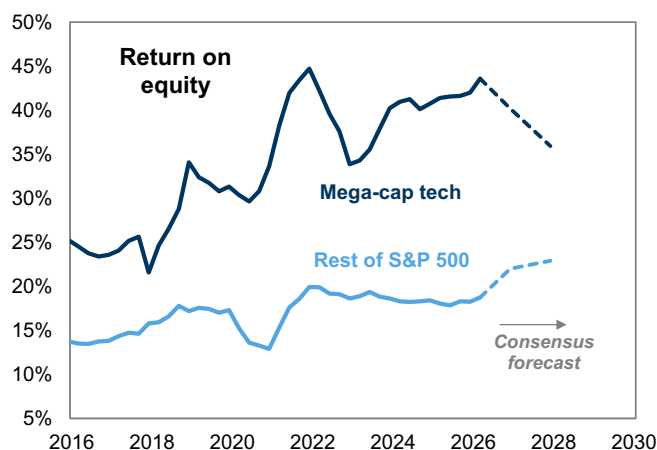


Mega-cap tech = AAPL, AMZN, AVGO, GOOGL, META, MSFT, NVDA

Source: Compustat, Goldman Sachs Global Investment Research

The AI capex boom is likely to weigh on ROE for the mega-cap tech stocks in coming years. While ROE for the mega-cap tech stocks is extremely elevated, the forward outlook faces increasing challenges. Consensus estimates suggest each of the mega-cap tech stocks will experience declining ROEs next year, by an average of 7 pp.

Exhibit 13: ROE for mega-cap tech and the rest of the S&P 500



Mega-cap tech = AAPL, AMZN, AVGO, GOOGL, META, MSFT, NVDA

Source: Compustat, FactSet, Goldman Sachs Global Investment Research

Exhibit 14: Consensus estimates point to declining ROE for mega-cap tech

	ROE (consensus)			2027 vs. 2026
	2025	2026	2027	
AVGO	43 %	51 %	51 %	(0)pp
AMZN	19	18	16	(2)
MSFT	29	26	24	(2)
META	28	28	23	(5)
GOOGL	32	30	24	(6)
NVDA	74	72	61	(12)
AAPL	140	109	83	(26)
Average				(7)pp

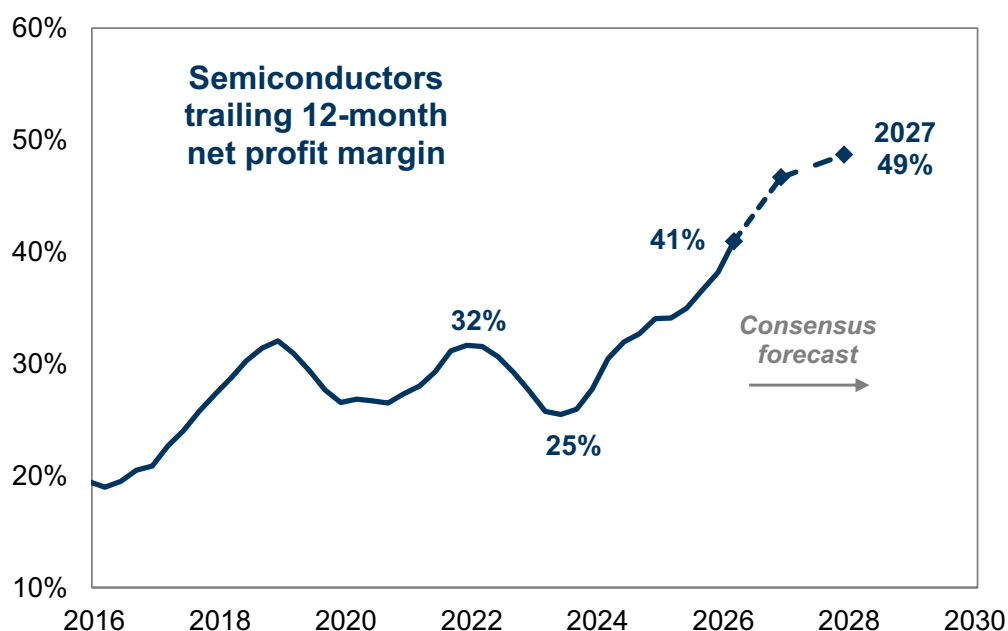
Based on calendar years

Source: FactSet, Goldman Sachs Global Investment Research

The demand for chips has pushed semiconductor profitability to extremely high levels, but investors remain skeptical about the durability of those earnings. The largest direct earnings beneficiaries of the AI capex boom have been semiconductor

firms. Strong moats and a shortfall of supply relative to demand have given these semiconductor firms strong pricing power, boosting their margins and lifting ROE. However, investors fear the combination of slowing demand and increasing supply, including from new competitors, will eventually weigh on semiconductor profitability. Analyst forecasts imply that semiconductor companies will largely be able to defend profit margins during the next year, but their estimates imply a decline in ROE as growth in equity outpaces growth in earnings.

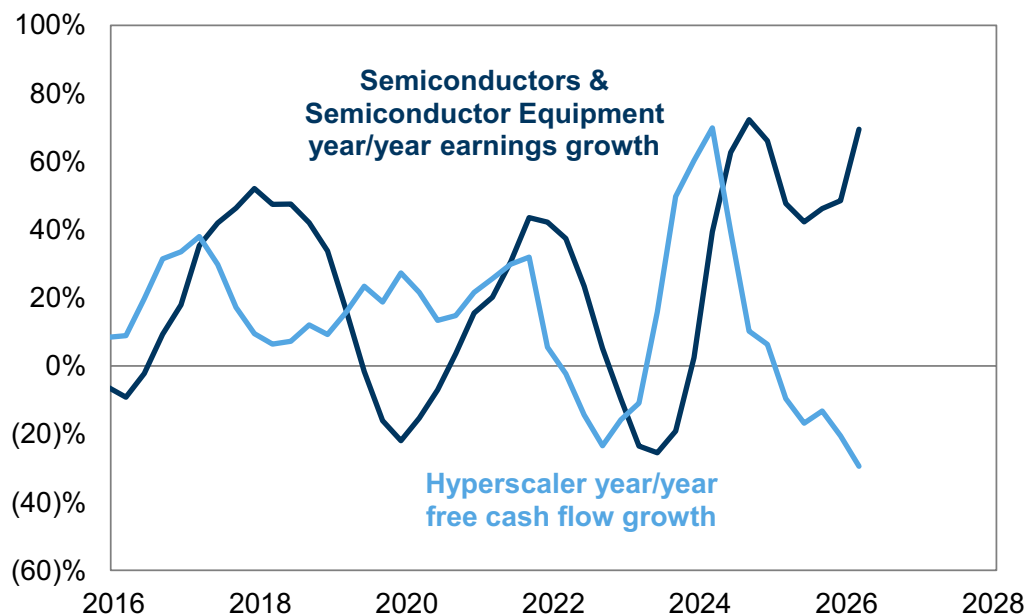
Exhibit 15: Semiconductor margins have climbed to a record high



Source: FactSet, Goldman Sachs Global Investment Research

The capex boom boosting semiconductor earnings today will weigh on hyperscaler ROE going forward as depreciation expenses build. Analyst estimates imply that depreciation and amortization will climb from 7% of hyperscaler revenues in 2022 to 12% in 2027 ([Exhibit 17](#)).

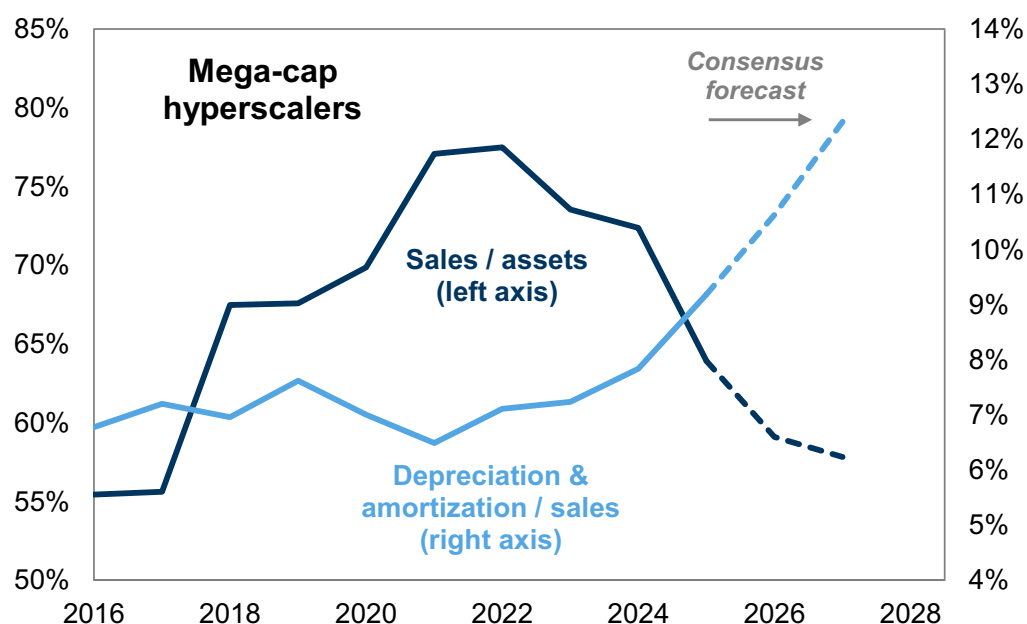
Exhibit 16: Semiconductor earnings have risen at the expense of hyperscaler free cash flows
trailing 4-quarter earnings and free cash flows



Hyperscalers = AMZN, GOOGL, META, MSFT, ORCL

Source: FactSet, Goldman Sachs Global Investment Research

The hyperscalers have also become increasingly asset-heavy businesses. For the decade prior to AI capex build-out, the asset-light business models of the hyperscalers were reflected in rising sales/asset ratios, supporting ROE expansion. However, the physical footprint required to support AI workloads has led to a steady decline in asset turnover, which analysts expect will continue in 2027.

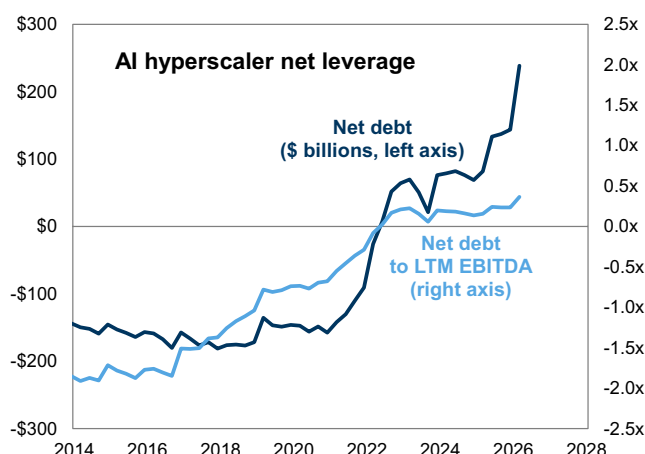
Exhibit 17: AI hyperscaler capex will create headwinds to ROE

Hyperscalers = AMZN, META, MSFT, GOOGL, ORCL

Source: FactSet, Goldman Sachs Global Investment Research

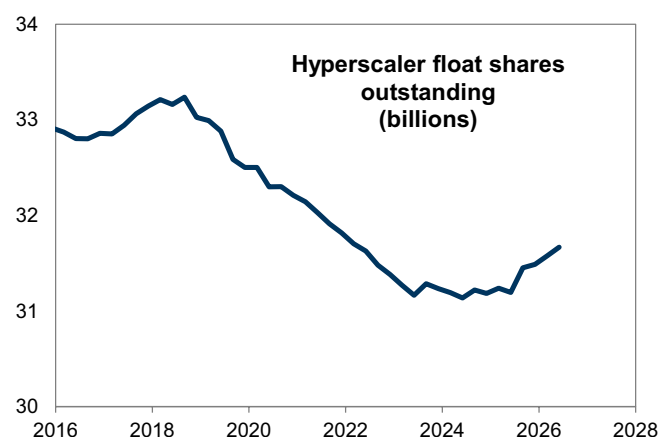
Capital raising to fund the AI build-out signals additional headwinds to ROE.

Consensus estimates suggest the hyperscalers will spend \$770 billion on capex in 2026, equivalent to 100% of cash flows from operations. In order to fund continued capex growth, the companies have increasingly turned to debt and equity issuance and pulled back on buybacks. Net debt for the hyperscalers has increased by \$170 billion since start of 2025 and share counts have begun to rise. While further increases in corporate leverage would support ROE expansion going forward, all else equal, higher leverage would also likely result in increased interest expenses, weighing on ROE.

Exhibit 18: Hyperscaler net leverage has been rising

Hyperscalers = AMZN, GOOGL, META, MSFT, ORCL

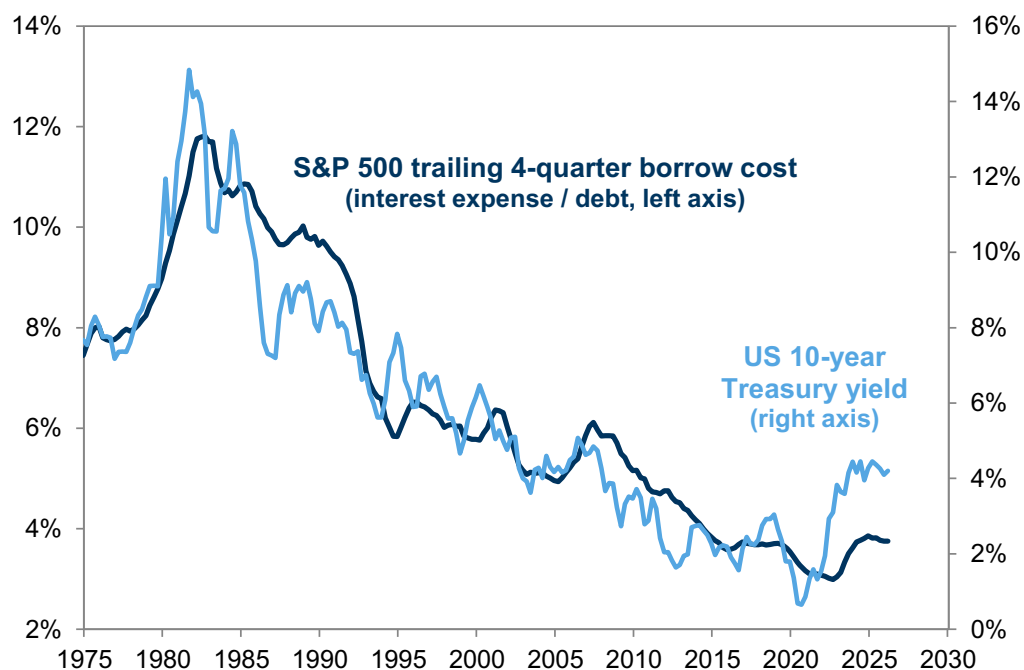
Source: Compustat, Goldman Sachs Global Investment Research

Exhibit 19: Hyperscaler shares outstanding have grown in recent quarters

Hyperscalers = AMZN, GOOGL, META, MSFT, ORCL

Source: FactSet, Goldman Sachs Global Investment Research

S&P 500 borrow costs have risen only modestly during the past few years relative to the increase in Treasury yields. However, the increase in bond yields raises the cost of financing for new issuance, in turn pressuring profitability.

Exhibit 20: S&P 500 borrow costs have increased modestly relative to the increase in bond yields

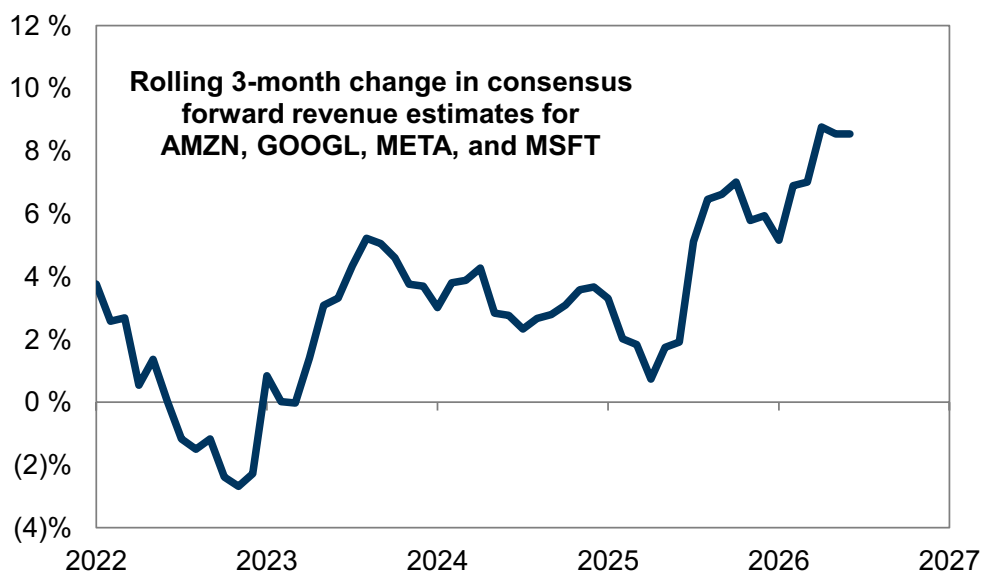
Source: Compustat, Goldman Sachs Global Investment Research

Despite growing headwinds, the net impact of the AI capex boom on the hyperscalers' ROE will depend on the magnitude of returns on their investments.

The Q1 earnings season offered evidence of the hyperscalers' ability to monetize AI, with positive revenue revisions, large backlogs, and rising gross margins. Our equity analysts

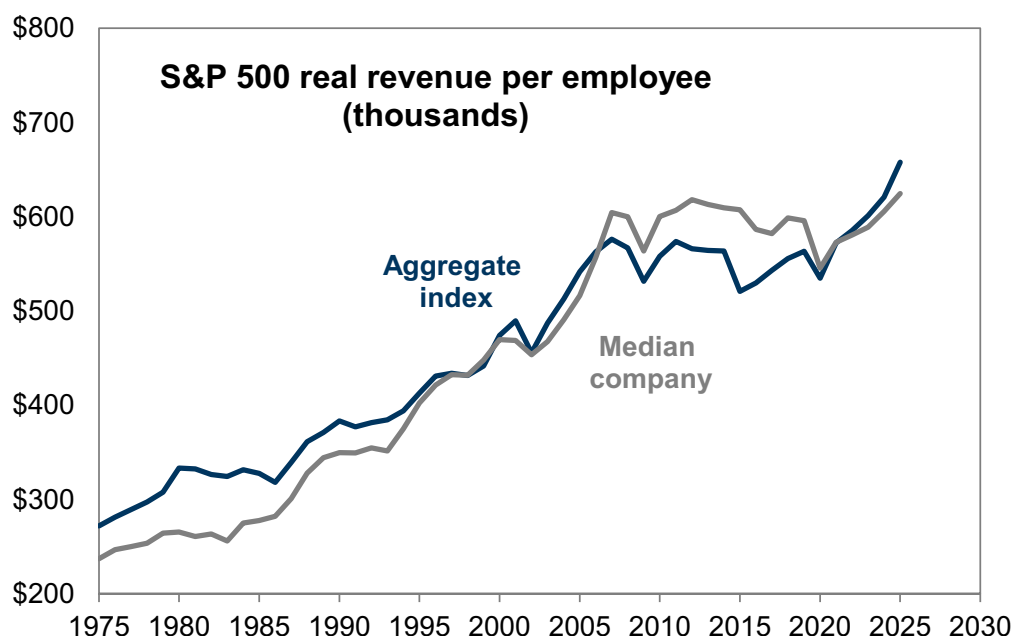
also expect an inflection in token economics ahead for hyperscalers and model providers, enabled by stabilizing token prices but falling compute cost per token.

Exhibit 21: Hyperscaler revenue estimates have been improving recently



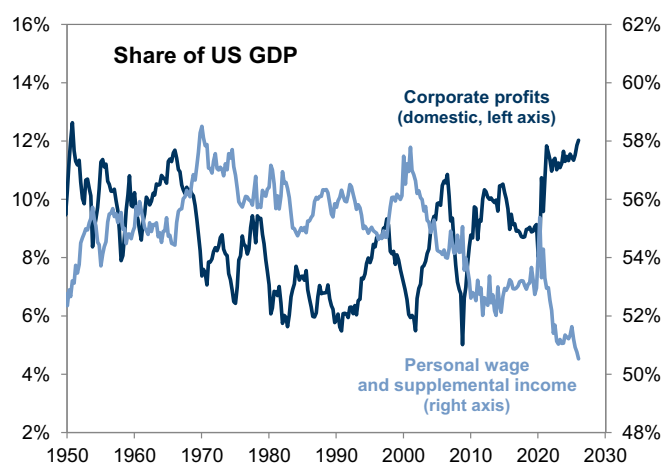
Source: FactSet, Goldman Sachs Global Investment Research

For most of corporate America, AI productivity represents a potential tailwind to profitability. We remain in the early stages of enterprise AI adoption. Last quarter, roughly 54% of companies discussed AI in the context of productivity on their earnings calls, but just 11% of companies quantified the AI productivity gains on a specific use case and only 2% of companies quantified the impact of AI productivity on earnings. The majority of companies focused on cost savings and efficiencies related to AI productivity. For the average company in the index, eventual AI productivity gains should boost sales and earnings per employee, in turn lifting profitability.

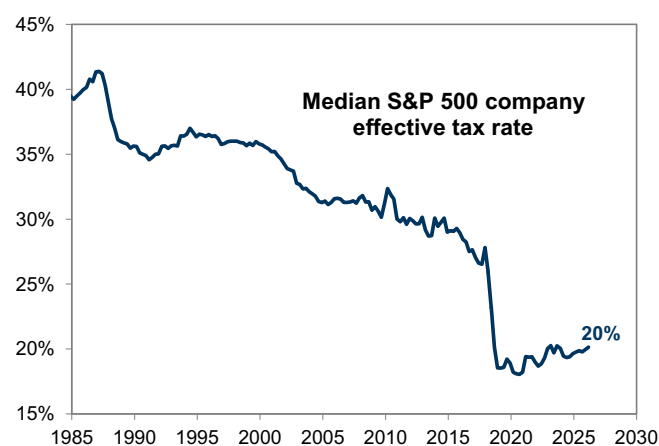
Exhibit 22: We expect AI productivity gains will eventually boost sales per employee

Source: Compustat, Goldman Sachs Global Investment Research

The share of AI-related productivity gains that accrue to corporate profits over the long term will depend in part on the response of government policy. Corporate profits as a share of GDP have risen to the highest level since 1950 alongside a decline in the personal income share and a multi-decade decline in the effective S&P 500 tax rate. Lower corporate tax rates have been one of the largest contributors to ROE expansion during the past 40 years.

Exhibit 23: Corporate profit share has risen

Source: US Bureau of Economic Analysis (BEA), Goldman Sachs Global Investment Research

Exhibit 24: The effective tax rate for S&P 500 companies has declined

Source: Compustat, Goldman Sachs Global Investment Research

We rebalance our ROE Growth basket (GSTHGROE) in this report. Our sector-neutral basket includes the 50 stocks with the highest consensus expected ROE growth during the next 12 months. The median stock in the basket has expected ROE growth of 18%

vs. 0% for the median S&P 500 stock and trades at a similar valuation.

Exhibit 25: Constituents of our ROE Growth basket (GSTHGROE)

bold indicates new constituent

Consensus						Consensus							
		YTD				YTD							
Company Name	Ticker	Total Return	Price to Book	ROE LTM	Forward ROE	ROE Growth	Company Name	Ticker	Total Return	Price to Book	ROE LTM	Forward ROE	ROE Growth
COMMUNICATION SERVICES													
Paramount Skydance	PSKY	(21)%	0.9x	5 %	7 %	46 %	Centene Corp.	CNC	54 %	1.4x	6 %	8 %	29 %
Take-Two Interactive Software	TTWO	(17)	11.3	26	35	34	Viatriis Inc.	VTRS	33	1.2	18	20	11
T-Mobile US Inc.	TMUS	(8)	3.5	19	24	22	Abbott Laboratories	ABT	(28)	3.0	19	20	7
News Corp.	NWSA	1	1.7	7	7	13	UnitedHealth Group	UNH	24	3.8	15	16	6
AT&T Inc.	T	(5)	1.5	13	14	7							
CONSUMER DISCRETIONARY													
NIKE Inc.	NKE	(27)%	4.0x	17 %	20 %	21 %	CSX Corp.	CSX	31 %	6.8x	25 %	29 %	18 %
Ford Motor Co.	F	15	1.4	15	18	20	GE Aerospace	GE	8	18.7	39	45	15
DoorDash Inc.	DASH	(32)	6.5	9	11	19	C.H. Robinson Worldwide	CHRW	20	12.6	36	41	14
Williams-Sonoma	WSM	23	12.8	51	61	19	Westinghouse Air Brake Technologies	WAB	23	4.1	15	17	13
Chipotle Mexican Grill	CMG	(16)	13.6	54	64	18							
CONSUMER STAPLES													
Bunge Global SA	BG	42 %	1.7x	9 %	11 %	27 %	Salesforce Inc.	CRM	(37)%	2.9x	24 %	34 %	43 %
Archer-Daniels-Midland	ADM	39	1.7	9	10	19	Cohesent Corp.	COHR	97	8.9	10	14	38
							Ciena Corp.	CIEN	90	22.4	24	32	33
							ON Semiconductor	ON	114	5.9	14	19	32
							Analog Devices Inc.	ADI	53	5.9	15	19	27
							Applied Materials	AMAT	116	20.5	31	39	25
							Teradyne Inc.	TER	97	20.8	28	34	23
							Texas Instruments	TXN	73	16.3	34	41	18
							Hewlett Packard Enterprise	HPE	96	2.5	14	17	18
							Corning Inc.	GLW	102	13.1	19	22	16
							Synopsys Inc.	SNPS	(3)	3.0	8	9	12
							Monolithic Power Systems	MPWR	76	21.8	25	28	11
							Broadcom Inc.	AVGO	12	22.7	47	53	11
							First Solar Inc.	FSLR	4	3.1	16	18	8
							Qnity Electronics	Q	83	3.6	10	11	7
							Trimble Inc.	TRMB	(36)	2.1	14	14	6
							Roper Technologies	ROP	(25)	1.8	11	12	5
							NXP Semiconductors	NXPI	40	7.5	30	31	5
							Keysight Technologies	KEYS	67	9.7	24	25	4
FINANCIALS													
Block Inc.	XYZ	6 %	1.7x	8 %	10 %	30 %	REAL ESTATE						
Citigroup Inc.	C	20	1.2	8	9	24	CoStar Group Inc.	CSGP	(51)%	1.7x	6 %	8 %	43 %
Citizens Financial Group	CFG	15	1.2	8	9	20							
Global Payments	GPN	(15)	0.8	14	17	18	UTILITIES						
Invesco Ltd.	IVZ	9	1.2	8	9	15	Sempra	SRE	4 %	1.9x	9 %	10 %	9 %
KeyCorp.	KEY	10	1.4	10	12	15							
MATERIALS													
LyondellBasell Industries	LYB	50 %	1.9x	15 %	22 %	46 %							
HEALTH CARE													

Source: FactSet, Goldman Sachs Global Investment Research

S&P 500 earnings and return forecasts

Pricing as of June 11, 2026, unless otherwise noted.

Exhibit 26: Goldman Sachs top-down S&P 500 forecasts



Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 27: Goldman Sachs and consensus forecasts for S&P 500 earnings and returns

	Goldman Sachs forecast	Bottom-up analyst consensus	Top-down strategist consensus
S&P 500 EPS			
2025	\$275	\$275	\$275
Y/Y growth	12 %	12 %	12 %
2026	\$340	\$341	\$320
Y/Y growth	24 %	24 %	16 %
2027	\$385	\$398	\$365
Y/Y growth	13 %	17 %	14 %
S&P 500 P/E			
Current on NTM EPS	21x	20x	22x
S&P 500 price target			
YE 2026	8000	NA	7650
Return to target	8 %		3 %
12-month	8300	8900	NA
Return to target	12 %	21 %	

Source: Bloomberg, FactSet, Goldman Sachs Global Investment Research

Biggest stock movers this week

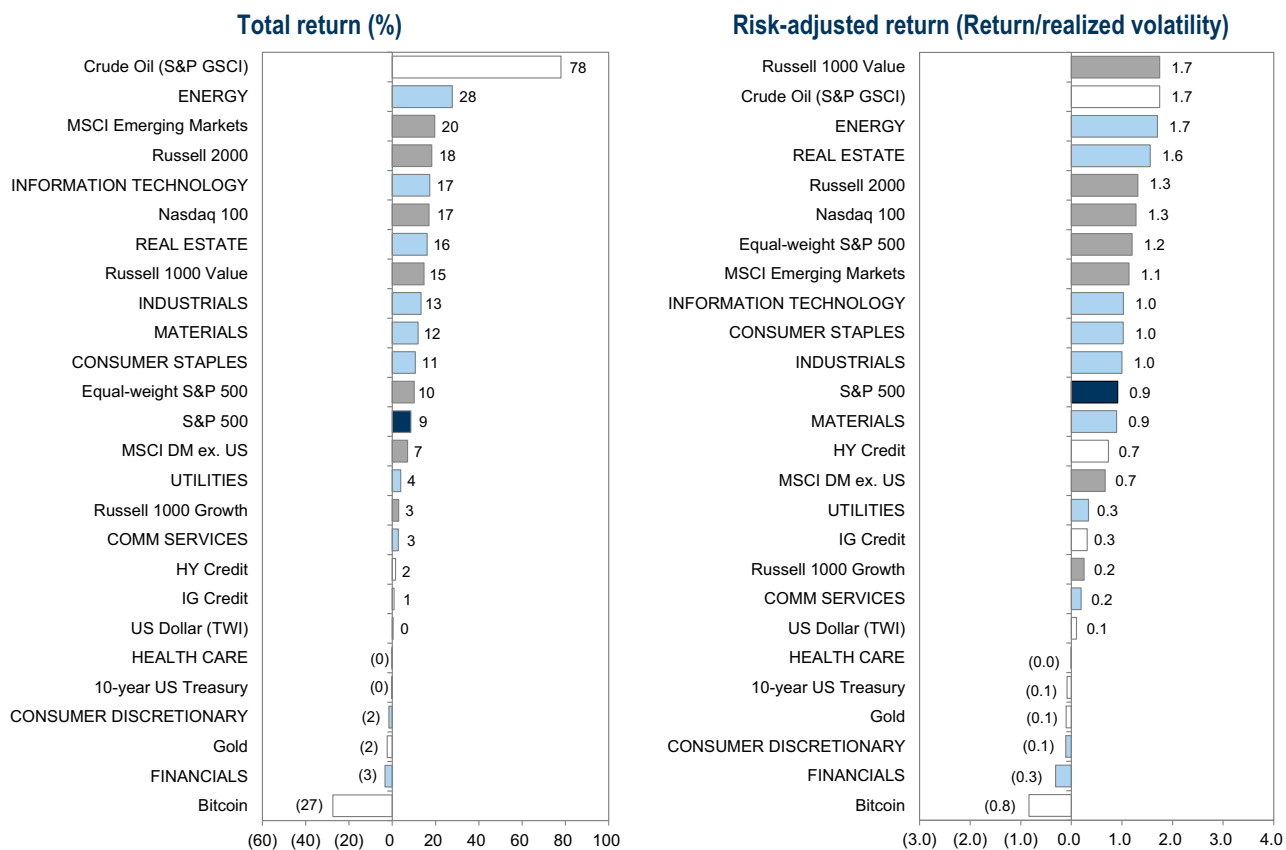
Exhibit 28: S&P 500 stocks with the largest moves this week
as of June 12, 2026

Company	Ticker	Industry group	This week	Total return			Market cap (bn)	Consensus	Fwd 12m
				3m	6m	12m		2026 EPS growth	
Top 10 returns this week									
KLA Corp.	KLAC	Semiconductors & Semi Equip	32 %	65 %	94 %	178 %	\$315	889 %	53x
Sandisk Corp.	SNDK	Tech Hardware & Equipment	27	187	679	4577	279	1871	12
Intel Corp.	INTC	Semiconductors & Semi Equip	26	144	196	466	588	173	117
Applied Materials	AMAT	Semiconductors & Semi Equip	25	58	105	222	439	44	38
Lam Research Corp.	LRCX	Semiconductors & Semi Equip	21	66	115	302	453	39	49
Casey's General Stores	CASY	Consumer Staples Retail	17	34	69	84	34	22	42
Micron Technology	MU	Semiconductors & Semi Equip	14	138	286	760	1,123	638	10
Robinhood Markets	HOOD	Financial Services	13	17	(25)	23	83	(8)	47
Teradyne Inc.	TER	Semiconductors & Semi Equip	13	26	87	341	60	83	57
J.M. Smucker	SJM	Food Beverage & Tobacco	13	10	18	27	12	16	12
Bottom 10 returns this week									
Super Micro Computer	SMCI	Tech Hardware & Equipment	(27)%	1 %	(6)%	(26)%	\$19	67 %	10x
Adobe Inc.	ADBE	Software & Services	(19)	(20)	(38)	(47)	88	11	8
PTC Inc.	PTC	Software & Services	(17)	(26)	(33)	(31)	14	(10)	15
Oracle Corp.	ORCL	Software & Services	(14)	13	(7)	5	529	9	23
Autodesk Inc.	ADSK	Software & Services	(14)	(18)	(32)	(31)	43	20	15
AppLovin Corp.	APP	Software & Services	(11)	4	(33)	25	161	64	29
Salesforce Inc.	CRM	Software & Services	(11)	(14)	(36)	(37)	136	11	12
Akamai Technologies	AKAM	Software & Services	(11)	24	55	69	19	(6)	20
Gartner Inc.	IT	Software & Services	(10)	(7)	(36)	(64)	10	1	10
GoDaddy Inc.	GDDY	Software & Services	(10)	(13)	(40)	(58)	10	14	10
Median S&P 500 stock			1 %	3 %	6 %	12 %	\$42	10 %	18x
S&P 500 Index			1	9	8	24	66,169	24	20

Source: FactSet, Goldman Sachs Global Investment Research

YTD absolute and risk-adjusted returns

Exhibit 29: YTD asset returns and return/volatility ratios

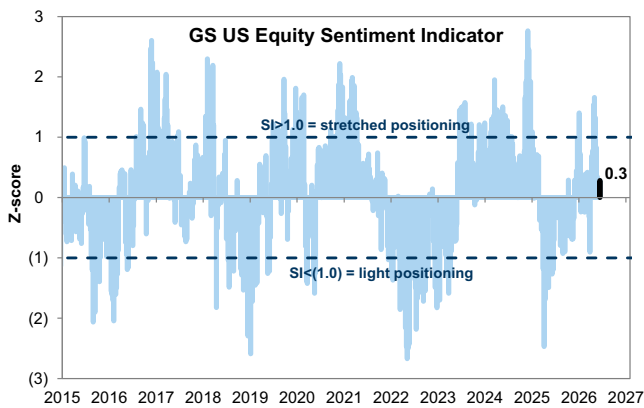


Crude oil represents S&P GSCI Crude Oil Index.

Source: FactSet, Haver Analytics, Goldman Sachs Global Investment Research

Sentiment and flows

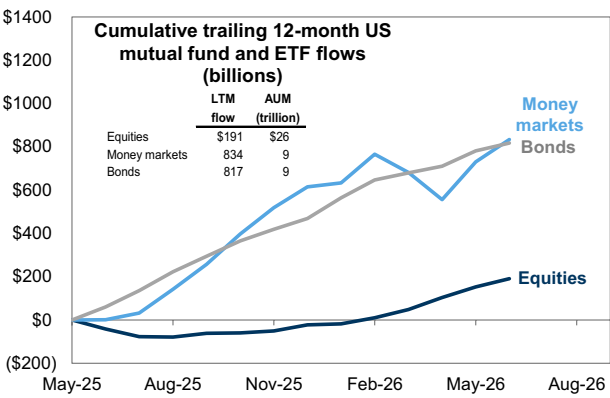
Exhibit 30: GS US Equity Sentiment Indicator of investor positioning
as of June 12, 2026



The Sentiment Indicator combines 9 measures of positioning across institutional, retail, and foreign investors and has historically been a statistically significant signal for near-term S&P 500 returns.

Source: Goldman Sachs Global Investment Research

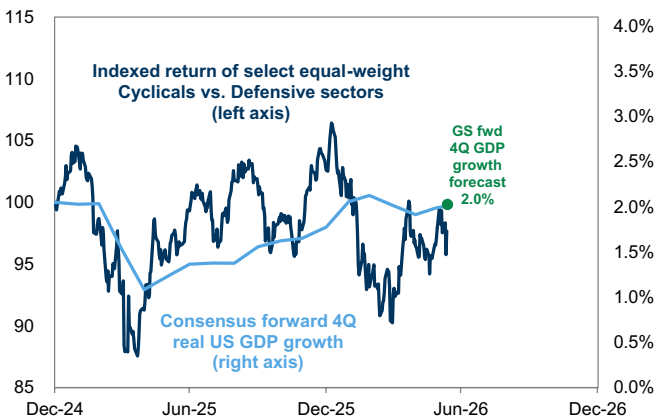
Exhibit 31: Recent mutual fund and ETF flows



Source: EPFR, Goldman Sachs Global Investment Research

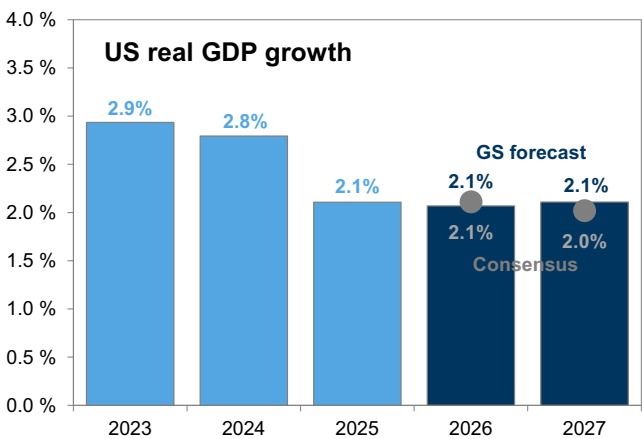
Economic growth

Exhibit 32: US equity market internal pricing of economic growth



Source: Bloomberg, Goldman Sachs Global Investment Research

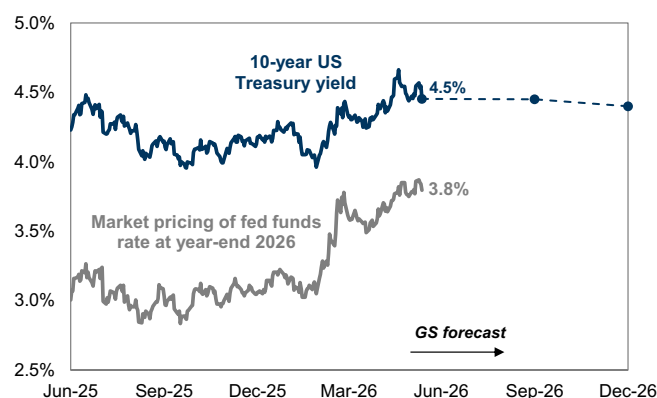
Exhibit 33: Goldman Sachs and consensus forecasts for US real GDP growth



Source: Bloomberg, Goldman Sachs Global Investment Research

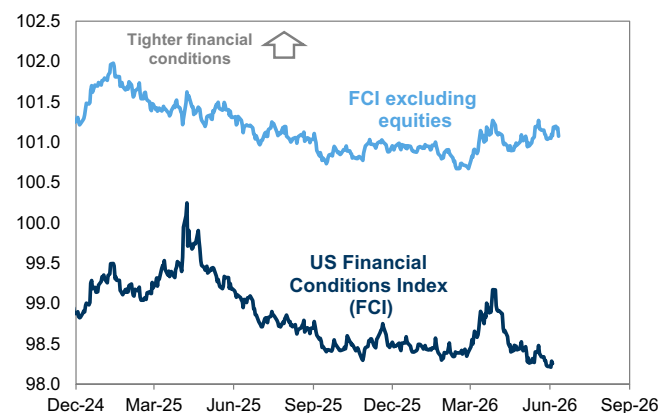
Interest rates and financial conditions

Exhibit 34: Market pricing of near-term and long-term interest rate outlook



Source: Goldman Sachs Global Investment Research

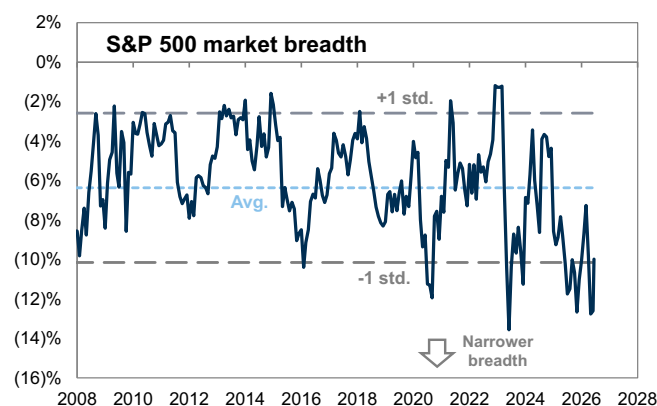
Exhibit 35: Goldman Sachs Financial Conditions Index



Source: Goldman Sachs Global Investment Research

Market breadth and concentration

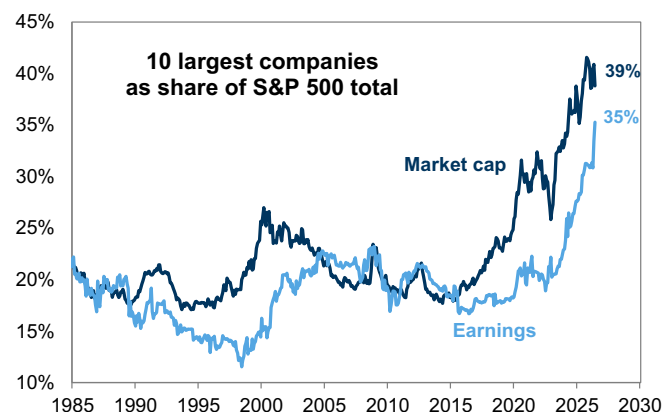
Exhibit 36: S&P 500 52-week market breadth



Market breadth calculated as the difference between the distance of the aggregate S&P 500 Index from its 52-week high and the distance of the median S&P 500 constituent from its 52-week high. When the aggregate index is much closer to its 52-week high than is the median stock, market breadth is narrow.

Source: Goldman Sachs Global Investment Research

Exhibit 37: Concentration of S&P 500 market cap and earnings in the 10 largest index constituents

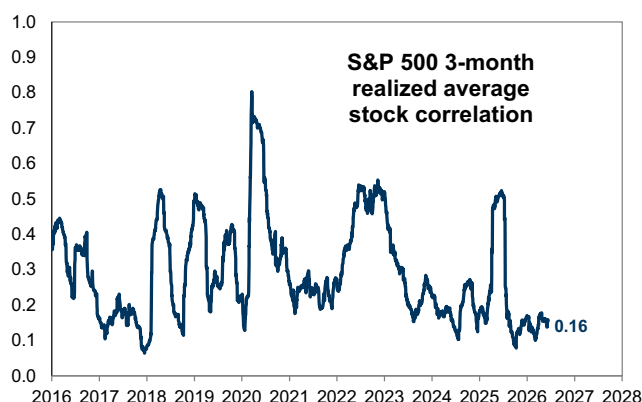


Earnings reflect consensus forward 12-month estimates.

Source: Compustat, IBES, FactSet, Goldman Sachs Global Investment Research

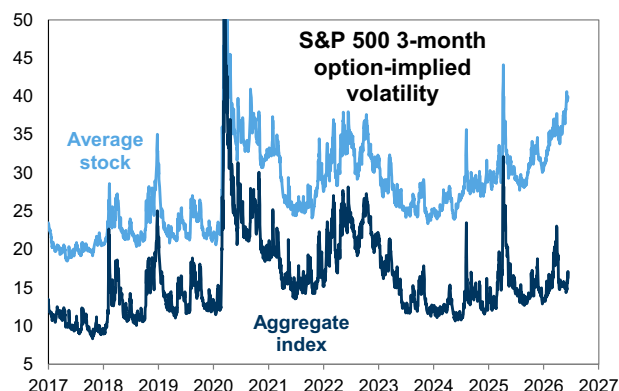
Correlation and volatility

Exhibit 38: S&P 500 realized average stock correlation



Source: Goldman Sachs Global Investment Research

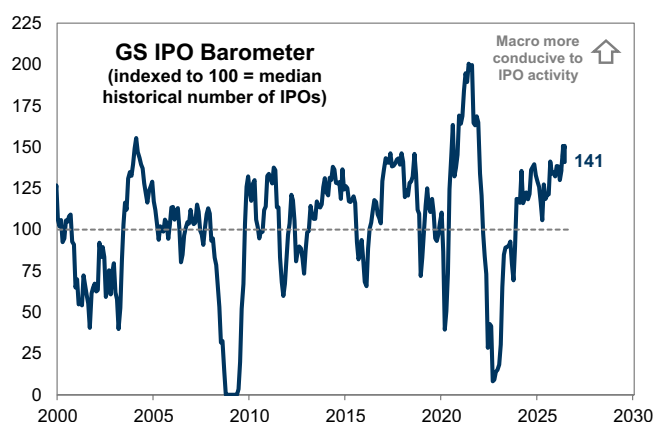
Exhibit 39: S&P 500 implied volatility



Source: Goldman Sachs Global Investment Research

IPO Barometer and mutual fund performance

Exhibit 40: Goldman Sachs IPO Barometer



The Goldman Sachs IPO Barometer combines five indicators that gauge the conduciveness of the macro environment to IPO activity.

Source: Goldman Sachs Global Investment Research

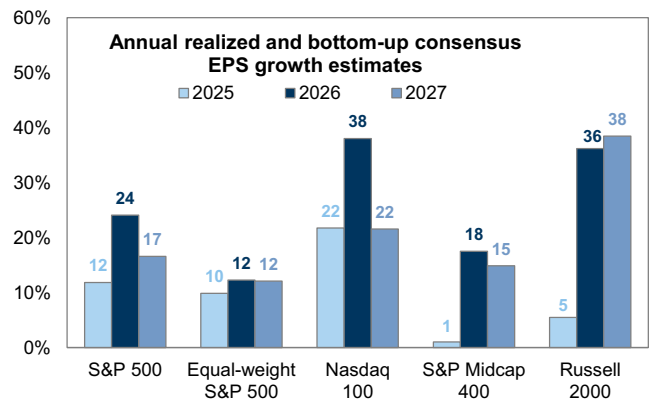
Exhibit 41: US equity mutual fund returns relative to benchmarks

Mutual fund style	Average	% outperforming
	YTD return	benchmarks YTD
Large-cap core	8%	36%
Large-cap growth	5	63
Large-cap value	10	15
Large-cap total	7%	38%
Small-cap core	17%	33%

Source: FactSet, Goldman Sachs Global Investment Research

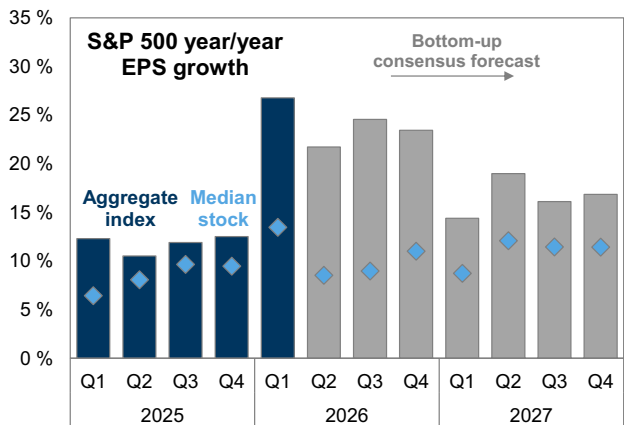
Earnings growth

Exhibit 42: Realized and consensus EPS growth for select US equity indices



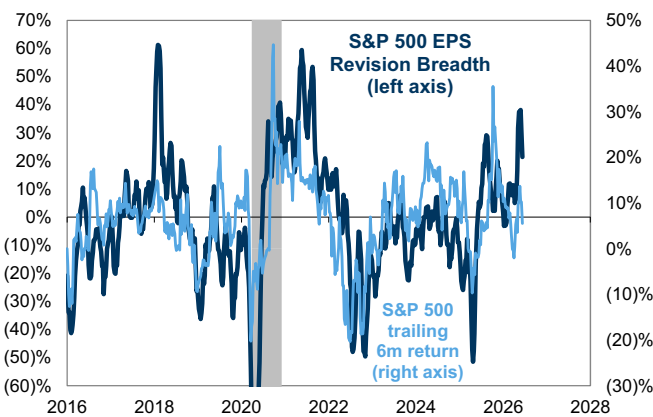
Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 43: Realized and consensus year/year S&P 500 EPS growth



Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 44: S&P 500 FY2 earnings revision breadth

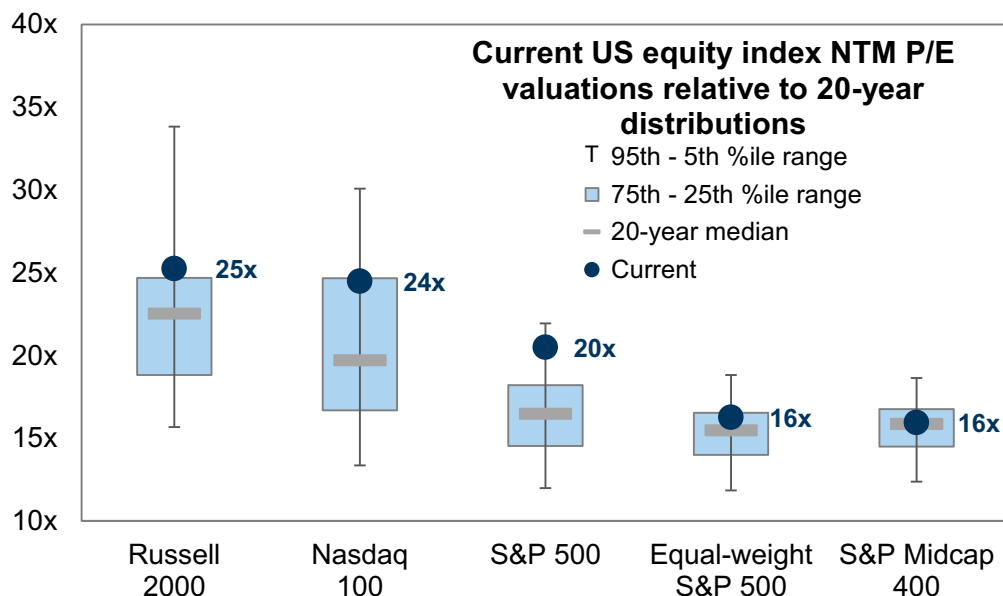


Revision breadth calculated as $\frac{[(\# \text{ of companies with positive EPS revisions}) - (\# \text{ of companies with negative revisions})]}{(\text{total } \# \text{ of companies})}$. Revisions reflect FY2 EPS estimate changes during a rolling 1-month window.

Source: FactSet, Goldman Sachs Global Investment Research

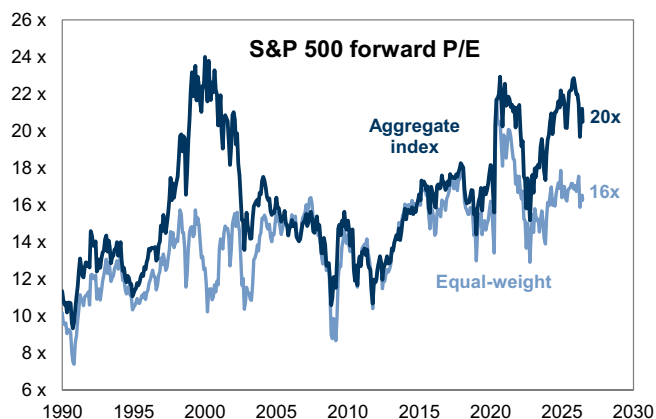
Valuations

Exhibit 45: US equity index P/E valuations vs. history



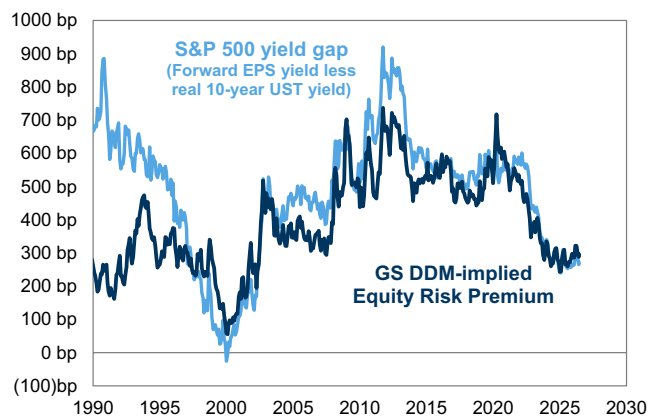
Source: Compustat, FactSet, IBES, Goldman Sachs Global Investment Research

Exhibit 46: S&P 500 consensus forward 12-month P/E



Source: Compustat, FactSet, IBES, Goldman Sachs Global Investment Research

Exhibit 47: S&P 500 valuation relative to US Treasury yields



Equity risk premium calculated by solving for the discount rate that equates the fair value of our multi-stage S&P 500 dividend discount model to the current market price and subtracting the 10-year US Treasury yield.

Source: Goldman Sachs Global Investment Research

Sector returns, earnings, and valuations

Exhibit 48: Sector and industry group returns

			Top quartile						
			Bottom quartile						
S&P 500			Index weight	1 Week	1 Month	3 Months	Last 12 Mo	YTD	GS allocation
			100 %	(2.5)%	(0)%	9 %	24 %	9 %	
S E C T O R	Consumer Staples	5 %	3.7 %	1 %	1 %	8 %	11 %	OW	
	Health Care	9	1.4	8	1	16	(0)		
	Real Estate	2	1.2	1	7	15	16		
	Financials	12	0.8	3	7	5	(3)		
	Utilities	2	0.2	(2)	(4)	12	4	OW	
	Industrials	9	(0.5)	0	4	23	13		
	Materials	2	(0.9)	(2)	2	17	12		
	Consumer Discretionary	9	(1.7)	(5)	4	10	(2)		
	Energy	3	(2.8)	(0)	0	37	28		
	Communication Services	10	(3.8)	(6)	3	27	3		
Information Technology		37	(5.6)	0	22	43	17		
I N D U S T R Y G R O U P	Household & Personal Products	1 %	5.7 %	4 %	(2)%	(6)%	6 %		
	Food Beverage & Tobacco	2	3.8	2	4	10	13		
	Insurance	2	3.7	4	3	(2)	(2)		
	Consumer Durables & Apparel	0	3.5	6	(3)	0	(5)		
	Telecommunication Services	1	3.3	(4)	(12)	(8)	0		
	Consumer Staples Retail	2	2.6	(2)	(1)	14	11		
	Consumer Services	2	2.2	4	(1)	(2)	(4)		
	Banks	3	1.7	7	13	27	2		
	Pharma Biotech & Life Sciences	6	1.4	9	1	29	4		
	Transportation	1	1.4	6	11	26	14		
	Health Care Equipment & Services	3	1.3	6	1	(3)	(6)		
	Real Estate Investment Trusts (REITs)	2	1.2	1	7	15	16		
	Utilities	2	0.2	(2)	(4)	12	4		
	Financial Services	7	(0.2)	1	5	(2)	(6)		
	Commercial & Professional Svcs	1	(0.8)	3	(7)	(23)	(12)		
	Capital Goods	7	(0.9)	(1)	4	32	17		
	Materials	2	(0.9)	(2)	2	17	12		
	Consumer Discretionary Retail	5	(2.2)	(6)	8	10	3		
	Energy	3	(2.8)	(0)	0	37	28		
	Semiconductors & Semi Equipment	18	(4.2)	(1)	34	89	39		
	Media & Entertainment	9	(4.4)	(7)	5	31	3		
	Automobiles & Components	2	(4.5)	(8)	(0)	25	(10)		
	Technology Hardware & Equipment	11	(5.0)	4	25	70	26		
	Software & Services	9	(9.3)	(1)	0	(17)	(17)		

Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 49: Earnings contributions and growth by S&P 500 sector

Sector	GS top-down					Consensus bottom-up			
	Contribution			EPS growth		Contribution		EPS growth	
	2025	2026	2027	2026	2027	2026	2027	2026	2027
Info Tech	\$70	\$110	\$140	56 %	27 %	\$107	\$139	52 %	30 %
Financials	52	56	61	8	9	56	63	8	11
Comm Services	29	36	38	24	5	37	39	26	6
Health Care	33	34	39	2	14	34	40	1	19
Cons Discretionary	23	24	26	7	7	26	29	13	14
Industrials	21	23	25	9	9	23	28	9	19
Energy	12	19	17	60	(10)	19	18	62	(7)
Consumer Staples	15	15	16	4	4	15	17	4	8
Utilities	8	8	9	7	6	9	9	14	8
Materials	5	8	8	39	5	8	8	42	10
Real Estate	6	7	7	5	6	7	8	15	8
S&P 500	\$275	\$340	\$385	24 %	13 %	\$341	\$398	24 %	17 %

Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 50: S&P 500 sector P/E valuations relative to history

	Consensus forward 12-month P/E valuation				
	Current P/E	Absolute P/E		P/E vs. S&P 500	
		%ile rank vs. history		%ile rank vs. history	
		10-year	30-year	10-year	30-year
Consumer Discretionary	26x	46%	81%	25%	71%
Industrials	25	86	95	97	99
Information Technology	23	55	62	53	42
Consumer Staples	22	85	85	56	35
S&P 500	20	56	76		
Communication Services	20	53	53	35	12
Real Estate	19	65	81	39	35
Health Care	18	74	66	39	19
Utilities	17	56	86	69	70
Materials	17	41	61	21	14
Financials	15	38	66	9	8
Energy	13	34	45	37	18

Source: Compustat, FactSet, IBES, Goldman Sachs Global Investment Research

Thematic baskets

Exhibit 51: Recent performance of select Goldman Sachs Research baskets

basket returns expressed relative to the equal-weight S&P 500 except for long/short basket pairs as noted

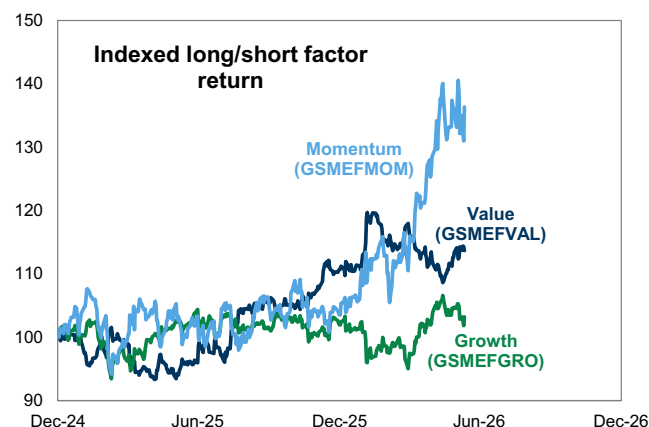
	Basket / Index	Ticker (GSTH_____)	Total returns			
			1 Wk	Top quartile		
				Bottom quartile		
				3 Mo	12 Mo	YTD
	S&P 500	SPX	(2.5)%	9 %	24 %	9 %
	Equal-weight S&P 500	SPW	(0.4)	7	19	10
Macro-economic	High vs. Low Tax Rate	HTAX / LTAX	2.6 %	(3)%	(1)%	2 %
	Interest Rate Sensitive	USTY	0.6	23	31	22
	Dual Beta	BETA	(1.1)	40	89	48
	Low vs. High Labor Cost	LLAB / HLAB	(1.2)	8	21	13
Geographic sales	US Sales	AINT	(0.4)%	5 %	(12)%	(4)%
	International Sales	INTL	(1.8)	27	48	32
	EM Sales	BRIC	(2.3)	39	82	52
	Western Europe Sales	WEUR	(4.6)	5	6	3
Fundamental	Strong vs. Weak Balance Sheet	SBAL / WBAL	2.8 %	(4)%	(20)%	(10)%
	High Quality	QUAL	(0.1)	(6)	(14)	(9)
	Stable Growers	STGR	(2.2)	(7)	(19)	(10)
	Long vs. Short Duration	LDUR / SDUR	(2.4)	(4)	(21)	(11)
	ROE Growth	GROE	(2.9)	21	41	31
	High vs. Low Operating Leverage	OPHI / OPLO	(3.5)	(0)	(9)	(5)
Uses of cash	Debt Reducers vs. Issuers	DRED / DISS	0.7 %	12 %	27 %	13 %
	Dividend Growth	DIVG	(1.9)	9	15	6
	Total Cash Return	CASH	(2.0)	9	13	5
	Buybacks	REPO	(2.2)	7	4	1
	Capex and R&D	CAPX	(4.1)	27	57	34
	High Growth Investment	HGIR	(4.9)	19	37	23
Ownership, risk & liquidity	Mutual Fund Over- vs. Underweights	MFOV / MFUW	3.2 %	(14)%	(31)%	(22)%
	Low vs. High Liquidity	LLIQ / HLIQ	2.6	(8)	(18)	(12)
	High Sharpe Ratio	SHRP	(1.8)	(7)	(19)	(10)
	Hedge Fund VIP	HVIP	(2.8)	9	13	5
Equity research	Oil Input Cost	GSRHOILX	7.6 %	(1)%	(11)%	(1)%
	SMB Exposure	GSRHSMBX	(1.5)	(1)	(21)	(12)
	Gov't Exposure	GSRHGOVT	(1.8)	(5)	15	(3)
	M&A Candidates	GSRHACQN	(2.8)	3	15	(8)

Basket returns and constituents can be accessed via GS Marquee or Bloomberg using the indicated tickers.

Source: Goldman Sachs Global Investment Research

Factors

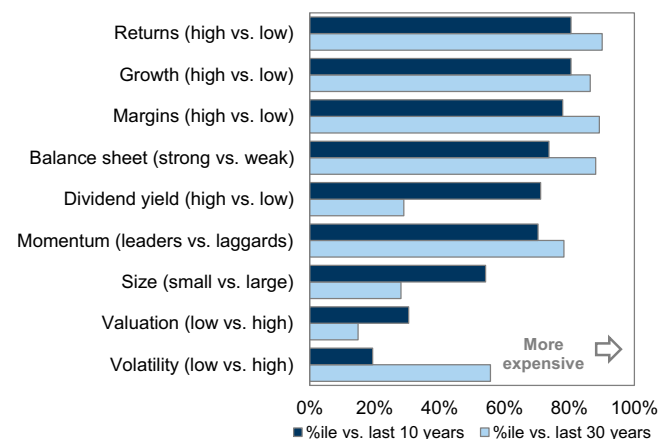
Exhibit 52: Indexed return of select equity factors



Factor performance and constituents can be viewed on GS Marquee or Bloomberg using the tickers indicated on the chart.

Source: Goldman Sachs Global Investment Research

Exhibit 53: Equity factor valuations relative to history



Source: Goldman Sachs Global Investment Research

Goldman Sachs global macro research cross-asset forecasts

Exhibit 54: Goldman Sachs macro research asset forecasts

Goldman Sachs Global Macro Forecasts

	units	Current	3m	6m	12m	Change to 12m target
Equities						
MXAPJ	level	856	980	1030	1080	26 %
TOPIX	level	3830	4100	4200	4400	15
S&P 500	level	7394	7600	8000	8300	12
STOXX Europe 600	level	622	640	645	660	6
10-year rates						
Euro Area (Germany)	%	2.5	3.0	3.0	3.0	55 bp
US	%	4.5	4.5	4.4	4.3	(15)
Japan	%	2.7	2.5	2.5	2.4	(27)
Corporate bonds						
Investment grade	bp	75	85	82	78	3 bp
High yield	bp	271	305	295	280	9
Currencies						
Euro / US dollar	EUR/\$	1.15	1.14	1.18	1.20	4 %
Sterling / US dollar	£/\$	1.33	1.33	1.34	1.33	0
US dollar / Yen	\$/¥	161	160	158	155	(3)
Commodities						
COMEX gold	\$/troy oz	4114	4805	4990	5445	32 %
NYMEX nat. gas	\$/mmBtu	3	3.50	3.50	3.50	13
LME copper	\$/mt	13420	13620	13735	13800	3
Brent crude oil	\$/bbl	90	92	88	80	(11)

Source: FactSet, Goldman Sachs Global Investment Research

Disclosure Appendix

Reg AC

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